

Fiducia Intelligence

JRCH FIDUCIA LLC · RESEARCH-AS-A-SERVICE

OPPORTUNITY MEMO

Confidential

WINDOW: JUNE 2026

TO Diaspora investor / operator (*illustrative profile*)

FROM Josué R. Cardona Hernández, Esq. — JRCH Fiducia LLC

DATE June 24, 2026

RE Should I invest ~\$250K in a residential solar + battery installation business in Puerto Rico over the next 12–18 months?

About this sample: demonstration deliverable of the *Opportunity Memo* product. The **client is an illustrative composite** (not real). **All data, citations, and sources are real and verified** as of the date shown. Business intelligence; not legal, tax, or investment advice.

1 · BLUF — The answer

Verdict: **CONDITIONAL** — **there is a business here, but it isn't the one it looks like.** Structural demand for solar+storage in PR is real, large, and growing (chronic outages, a residential rate ~39% above the U.S. average, and rooftop solar already 20% of capacity). **But the two pillars an investor would assume — the federal subsidy inflating demand and a stable market leader — both collapsed in the last nine months:** the \$1.0B federal residential-solar fund was redirected to grid repairs, and the market leader (Sunnova) filed for bankruptcy. The \$250K opportunity is **not** in competing for new subsidized installs (that thesis is dead); it is in the **service/O&M vacuum left by the leader's bankruptcy** and a model that does not depend on volatile incentives.

CONFIDENCE: HIGH ON THE FACTS **MEDIUM ON THE VERDICT** — *it depends on your operating model and regulatory-risk tolerance.*

2 · The question and scope

The question: a diaspora investor/operator is weighing ~\$250K to launch (or take a stake in) a **residential** solar + battery installation business in PR. Is the timing and the market right over 12–18 months? GO / wait-and-position / NO.

In scope: structural demand, the incentive framework (federal and PR), regulatory risk to the compensation model (net metering), competitive structure, and the strategic angle of entry.

Out of scope (explicit): unit-level financial modeling (needs your assumptions), due diligence on a specific target, tax advice on incentives (Act 60 or others — consult your CPA/attorney), and legal opinion on contracts. This memo gives you **the terrain and the thesis**, not the modeling or professional advice.

3 · Methodology and sources

Public-source research with legal-grade verification: every material claim is traced to a cited source (§9). **Primary and official sources** (U.S. EIA, U.S. DOE, Puerto Rico Energy Bureau, statutory text) were prioritized over

secondary ones. AI was used to accelerate the sweep and synthesis; **no datum entered this memo without verification against a source**. Where a source is an aggregator or advocacy outlet, confidence is labeled. Window: June 2026; PR's energy environment changes fast (see §6).

4 • Key findings

F1 — Structural demand is real, large, and growing. **CONFIDENCE: HIGH**

- **Unreliable grid:** the average customer suffered **19 service interruptions in 2024** (14 without major events + 5 from major events) [1]. LUMA reported a **+12% increase in outage duration** and +2% in frequency year-over-year [3].
- **High rates:** residential averaged **~24.4 ¢/kWh in 2025** vs. ~17.7 ¢/kWh U.S. average [11] — solar pays back faster here.
- **Already-massive adoption:** rooftop solar reached **1,456 MW = 20% of capacity** at year-end 2025 [2]; the operator projects **+60% by 2028** [5]. Not a nascent market — one mid-adoption-curve.

Implication: the question is not "is there demand?" (there is), but "under what thesis do I capture it without exposure to what changed?"

F2 — The federal subsidy everyone assumes no longer goes to residential solar.

CONFIDENCE: HIGH • PRIMARY SOURCE

- The **Puerto Rico Energy Resilience Fund (PR-ERF)**, \$1.0B (DOE, 2023), **"is no longer accepting applications"** [4].
- On **September 30, 2025, DOE reallocated up to \$365M** and redirected it to **PREPA for grid repairs**, not residential solar [4].
- Follow-up reporting indicates the **termination of >\$539M in active** residential solar+battery awards in January 2026 [5] (*secondary/advocacy; redirection confirmed by primary source [4]*).

Implication: any model whose economics depend on the federal low-income subsidy **lost its base**. Entering today on that thesis is buying yesterday's market.

F3 — The market leader went bankrupt: competitive vacuum + orphaned customers.

CONFIDENCE: HIGH

- **Sunnova filed for bankruptcy**. PR was its **second-largest residential market**, with **80,454 third-party net-metered installations** [6]. Prior research attributed **~62% of residential net metering** on the island to Sunnova [7] (*share: Medium confidence — earlier-dated figure*).

Implication — the non-obvious insight: the bankruptcy leaves **tens of thousands of systems with contracts, warranties, and maintenance in limbo**. The highest-margin, lowest-CAC wedge may not be "install more," but **service, O&M, and 'rescue' of the orphaned installed base** — picks-and-shovels on a problem that just got created.

F4 — The end customer's ROI hinges on a net-metering rule under federal challenge.

CONFIDENCE: HIGH ON THE LAW • MEDIUM-HIGH ON THE LITIGATION

- **Act 10-2024 protected 1:1 net metering and delayed its review to 2030**, guaranteeing it for systems up to 25 kW [8].
- **But the Financial Oversight and Management Board (FOMB) challenged that law** [9], and the **Energy Bureau has a net-metering study underway** [12]. The outcome will set the ROI of every system sold

afterward.

Implication: you're selling a product whose customer return hangs on an unresolved PR↔federal dispute. It's manageable — grandfathering runs to 2030 — but it **must be in your pitch and your contracts**, not as fine print.

5 • The landscape

Dimension	Verified status	Signal for the investor
Demand	19 outages/customer (2024); ~24.4¢ rate; rooftop 20% of mix, +60% proj. 2028 [1][2][5][11]	● Strong and structural
Federal incentive	PR-ERF closed to applications; \$365M redirected to grid/PREPA [4][5]	● The subsidy thesis is dead
Competition	Leader (Sunnova, ~62%) bankrupt; 80,454 third-party systems in limbo [6][7]	● Vacuum = opportunity (O&M)
Regulation (net metering)	Protected to 2030 (Act 10-2024) but challenged by FOMB; NEPR study underway [8][9][12]	● Live but manageable risk
Energy policy	100% renewable by 2050; 40% by 2025 (behind) [10]	● Long-term tailwind

6 • Risks and unknowns

Risks:

- **Incentive dependence:** models tied to the federal subsidy are no longer viable (F2).
- **Regulatory:** an adverse net-metering ruling (FOMB/NEPR) erodes customer ROI and new demand (F4).
- **Supply chain / tariffs:** imported panels are subject to shifting federal tariff policy (*not quantified*).
- **Sector reputation:** Sunnova's bankruptcy and service complaints [6] chilled consumer trust — a new entrant must differentiate on compliance and service.

Unknowns (what we do NOT know and that would change the verdict):

- **Final status of the FOMB challenge** to net metering — pending; the #1 factor to watch.
- **What happens to Sunnova's contract/customer book** post-bankruptcy — defines the true size of the O&M wedge.
- **Exact current % of total renewables** vs. the 40%-by-2025 target — looks behind, but we did not quantify the gap in this Brief.
- **Unit economics** of your operation (CAPEX, margins, CAC) — depends on your assumptions; the content of a *Viability Sprint*.
- **Exact LUMA tariff by tier** and fuel adjustments — we used aggregator averages [11].

7 • Recommendation

CONDITIONAL — enter, but with the right thesis and three conditions. Structural demand justifies the interest; what it does not justify is the naïve "install and collect the subsidy" thesis.

- **1. Don't build the model on federal incentives.** Assume zero residential subsidy and verify the economics close on rate + private financing. If it only closes with a subsidy, **do not enter** (F2).

- **2. Chase the O&M / rescue vacuum.** The highest-margin, lowest-CAC wedge over 12 months is **service, maintenance, and absorption of Sunnova's orphaned base** (80K+ systems), not a price war over new installs (F3). Confirm with due diligence on the book.
- **3. Hedge the net-metering risk** in pitch and contracts (grandfathering, post-2030 scenarios) and **watch the FOMB/NEPR outcome** as an escalation gate (F4).

If all three hold → **staged GO** (a service/O&M pilot before heavy capital). If you cannot validate the O&M wedge or the economics depend on the subsidy → **WAIT**.

8 • Next steps

- **Viability Sprint** (2–3 wks): models unit economics, sizes the O&M wedge with due diligence on the Sunnova book, and delivers a GO/KILL scorecard with a roadmap.
- **Intelligence Retainer:** tracks the FOMB↔net-metering dispute and the NEPR study — the factor that most moves your ROI.
- **Dedicated Opportunity Memo** if a specific target comes up for sale.

9 • Appendix — Sources

1. U.S. Energy Information Administration — "Even without hurricanes, customers in Puerto Rico lose power..." eia.gov/todayinenergy/detail.php?id=65925 (19 interruptions, 2024)
2. U.S. EIA — "Rooftop solar PV systems account for 20% of Puerto Rico capacity" eia.gov/todayinenergy/detail.php?id=67406 (1,456 MW; 20%; year-end 2025)
3. LUMA Energy — "Q4 Metrics Show... Longer and More Frequent Outages" lumapr.com/news/lumas-report-q4-metrics-show-lack-of-funding-leading-to-longer-and-more-frequent-outages (+12% duration)
4. U.S. Department of Energy — "Puerto Rico Energy Resilience Fund" energy.gov/oe/puerto-rico-energy-resilience-fund (closed to applications; 9/30/2025 reallocates up to \$365M to PREPA/grid; page modified 2026-03-24) — **official primary source**
5. DOE Alumni Network — "The Dismantling of the Puerto Rico Energy Resilience Fund" doealumninetwork.substack.com/p/the-dismantling-of-the-puerto-rico (>\$539M terminated, Jan 2026) — **secondary/advocacy; cross-checked with [4]**
6. Bloomberg Law — "Sunnova Bankruptcy Adds to Puerto Rico Residents' Energy Woes" news.bloomberglaw.com/bankruptcy-law/sunnova-bankruptcy-adds-to-puerto-rico-residents-energy-woes (PR 2nd-largest market; 80,454 installations)
7. NBC — "Hurricane María Exposes Problems Within Puerto Rico's Solar Panel Industry" (Sunnova ~62% of residential net metering; Medium confidence)
8. DSIRE — "Puerto Rico - Net Metering" programs.dsireusa.org/system/program/detail/2846 (Act 10-2024 delayed review to 2030; up to 25 kW)
9. PV Magazine USA — "Puerto Rico's solar net metering law at risk from federal oversight board" (4/16/2024) pv-magazine-usa.com/2024/04/16/puerto-ricos-solar-net-metering-law-at-risk-from-federal-oversight-board (FOMB challenged the extension)
10. Act 17-2019 — Puerto Rico Energy Public Policy Act (official text) bvirtualogp.pr.gov/ogp/Bvirtual/leyesreferencia/PDF/17-2019.pdf (100% renewable by 2050; 40% by 2025; 60% by 2040)
11. findenergy.com (PR 24.36 ¢/kWh, 2025) + electricchoice.com (US 17.65 ¢/kWh, 2026) (aggregators; Medium confidence)
12. Puerto Rico Energy Bureau — Resolution, net metering and distributed energy study (2024) energia.pr.gov/wp-content/uploads/sites/7/2024/06/20240614-MI20240006-Resolucion.pdf